

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

SIMPLE FORWARDING, INC., *Claimant*

v.

CULINES AND NORTON LILLY INTERNATIONAL,
Respondents.

DOCKET NO. 2010(I)

Served: July 18, 2024

BEFORE: Theresa DIKE, *Small Claims Officer.*

**ORDER ADDRESSING RESPONDENT CULINES' MOTION TO DISMISS AND RESPONDENT
NORTON LILLY INTERNATIONAL'S JUNE 27, 2024, EMAIL.**

On June 3, 2024, the Secretary of the Federal Maritime Commission ("FMC" or "Commission") issued a Notice of Filing of Small Claims Complaint and Assignment ("Notice"), stating that Claimant Simple Forwarding, Inc. ("Simple Forwarding") had filed an informal complaint against Respondents CULines ("CUL") and Norton Lilly International ("Norton Lilly"). The Secretary noted that Respondents were required to file a response to the complaint by June 28, 2024.

On June 21, 2024, Respondent CUL filed a Notice of Special Appearance "for the limited purpose of challenging the Commission's service of process on CUL, its personal jurisdiction over CUL, and its subject matter jurisdiction over the Complaint as it applies to CUL." Notice of Special Appearance at 1. On July 27, 2024, Respondent Norton Lilly sent an email to the Office of Administrative Law Judges, stating in pertinent part that "[c]onsidering Norton Lilly International was strictly acting as Agents for CULines, which is not subject to FMC jurisdiction, we respectfully request Norton Lilly International be formally removed from the complaint." Email at 1. On July 28, 2024, CUL filed a motion to dismiss the complaint ("Motion"), asserting that the FMC did not serve CUL; the FMC lacks personal jurisdiction over CUL; and that Claimant is not a "first purchaser" entitled to seek reparations. Motion to Dismiss at 1-5. On July 11, 2024, Claimant Simple Forwarding filed an opposition to the motion to dismiss ("Opposition"), asserting that the correct respondent was named and served; Respondent is a regulated entity; and Claimant is a direct purchaser. Opposition at 1-18. On July 18, 2024, CUL filed a Verified Reply in Support of Motion to Dismiss the Complaint for Lack of Service or Jurisdiction, reiterating its arguments that it was not properly served, that the Commission lacks jurisdiction over CUL, and that Claimant is not entitled to seek reparations because, according to CUL, Simple Forwarding is not a "first purchaser." Reply at 2-7.

As an initial matter, the parties are advised that in an informal docket proceeding governed by Subpart S, motions are not applicable and the Commission's Small Claims Procedures do not make provision for motions to dismiss. 46 C.F.R. § 502.305; *see also* 46 C.F.R. § 502.321 (Motions also not applicable in Subpart T proceedings, which govern if either Respondent objects to adjudication of the claim under Subpart S).

Moreover, even accepting as true CUL's contention that "C.U.LINES LIMITED, a foreign company not regulated by the FMC" should not have been served (Motion at 3), such a failure would not be a basis to dismiss the complaint. *See, e.g., Henderson v. United States*, 571 U.S. 654, 672 (1996) ("Instead the core function of service is to supply notice of the pendency of a legal action, in a manner and at a time that affords the defendant a fair opportunity to answer the complaint and present defenses and objections."); *Armco, Inc. v. Penrod-Stauffer Bldg. Systems, Inc.*, 733 F. 2d 1087, 1089 (4th Cir. 1984) ("[W]hen the process gives the defendant actual notice of the pendency of the action, the rules, in general, are entitled to liberal construction."); *Oak Plaza, LLC v. Buckingham*, 2023 WL 2537661 at *6 (D. Md. 2011) ("[S]ervice may still be valid if the defendant received 'actual notice of the pendency of the action,' and the error did not otherwise harm the defendant. This 'liberal' approach exists because the 'core function' of service 'is to supply notice of the pendency of a legal action, in a manner and at a time that affords the defendant a fair opportunity to answer the complaint.'") (citing *Henderson* 571 U.S. 654 at 672; *Armco*, 733 F.2d at 1089).

Addressing CUL's arguments that the Commission lacks jurisdiction over it and that Simple Forwarding is not entitled to reparations because it is not a "first purchaser," those arguments are best raised in CUL's brief responding to the complaint. On the issue of jurisdiction, long-standing Commission case law provides that when there is a challenge to the Commission's jurisdiction, the jurisdictional challenge must first be addressed prior to a decision on the merits of the case. *See, e.g., NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, 28 S.R.R. 1178 (ALJ 1999) (It is elementary law that a tribunal should determine its jurisdiction before proceeding to the merits of a controversy"); *River Parishes Co. Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 762 (FMC 1999) ("As the ALJ correctly held, an agency must reach the jurisdictional issues before addressing the merits of the case"). However, this does not require a separate motion on the jurisdiction issue in a Subpart S claim. Rather, the issue should be raised in Respondent's response to the claim. Respondent is similarly free to raise its "first purchaser" argument when it files its response to the Claim.

Respondent Norton Lilly is required to file a response to the claim. Its email requesting that it be formally removed from the complaint does not suffice as the required response. Failure to file a response to a claim could result in a default judgement against a respondent. Both Respondents should file a response to the claim as specified at Subpart S of the Commission's Rules of Practice and Procedure (46 C.F.R. § 502.301-305) by July 31, 2024. If Respondent CUL wishes its motion to dismiss to serve as its formal answer to the Claim it should so indicate.

THERESA DIKE Digitally signed by THERESA DIKE
Date: 2024.07.18 12:39:03 -04'00'

Theresa Dike
Small Claims Officer